

scenario were pretty low and, with a very favorable short-term lease from Boeing, there was no need to buy an airplane.

Branson figured he could hire a small ground staff, place a few ads in the paper, and start taking reservations. Boy George's records were produced by Virgin, and Branson and he were good friends. To boost the morale of the early Virgin Atlantic employees and get them all excited, he took Boy George over to the cargo hanger at Gatwick Airport, which served as the headquarters for Virgin Atlantic, to meet the staff. The employees loved it, but Boy George was quite stunned at the apparent chaos at the facility. He later told Branson, "I'm glad my feet are firmly on the ground." It was a very messy startup.³

Now if someone came up with this idea in Silicon Valley, there would be a fancy business plan put together along with the mandatory elevator pitch. It would be based on at least \$60 million in startup capital to build out the basic infrastructure, and so on. Branson did not go down this path. The "business plan" was done in a weekend and resided in Branson's head. There was no business plan ever written, there was no board of directors or advisors at startup, no venture capitalists (VCs), or angels. It was done by a person with no prior experience or expertise in the airline industry.

My take on Virgin Atlantic is simply this: if you can start a business that requires a \$200 million 747 jumbo jet and a boatload of employees in a tightly regulated industry for virtually no capital, then virtually any business that you want to start can be gotten off the ground with minimal capital. All you need to do is replace capital with creative thinking and solutions.

Branson found a service gap and went after it. By the time that gap narrowed and British Airways and his other competitors woke up, he had already built a strong brand. Even today, Virgin Atlantic offers a very unique product in a very tough industry. The Virgin Atlantic business model is pure Dhandho. Heads, I win; tails, I don't lose much!

The Virgin Group today is a privately held group of 200 + businesses with about \$7 billion in annual revenue. It generates about \$600 to \$700 million a year in free cash flow. The common ingredient in virtually all 200